CO-OPERATIVE BANK
We are you

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P.O.Box 48231 – 00100 GPO Nairobi
Tel: (020) 3276100
Fax: (020) 2227747 / 2219831
Website: www.co-opbank.co.ke

29th April 2015

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29 APR 2015
NAIROBI SECURITIES EXCHANGE LTD.

The Chief Executive
Nairobi Securities Exchange
55 Westlands Road
P.O.Box 43633-00100
Nairobi

Dear Sir,

RE: THE CO-OPERATIVE BANK OF KENYA LIMITED-GROUP FINANCIAL RESULTS FOR THE PERIOD ENDED 31ST MARCH 2015

Enclosed please find:-

a. The audited financial statements of Co-operative Bank and Group for the period ended 31st March 2015,together with the disclosures on earnings per share.
b. The statement on cash flows and changes in equity for the same period.

Please acknowledge receipt on the duplicate copy hereof.

Yours faithfully,

Rosemary Githaiga (Mrs)
COMPANY SECRETARY
Encl.

Chief Executive Officer
Capital Markets Authority,
Embankment Plaza 3rd Floor,
Longonot Road, Upper Hill,
P.O.Box 74800-00200,
Nairobi

Directors: S.C. Muchiri (Chairman); J. Riungu (Vice Chairman); Dr. Gideon Muriuki (Managing Director & CEO); J. Sitienei; D.K. Kibera; Benedict Simiyu; M. Malonza; W. Ongoro; R. Kimanthi; Wanyambura Mwambia; P. Musyimi; Rose Simani (Mrs)

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2015

CO-OPERATIVE BANK OF KENYA

		GROUP			BANK		
I	STATEMENT OF FINANCIAL POSITION	31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)	31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)
A	ASSETS						
1	Cash (local and foreign)	7,939,069	9,455,086	7,040,644	7,512,572	8,970,240	6,623,163
2	Balances due from Central Bank Of Kenya	28,619,246	14,880,245	13,086,638	26,801,751	13,954,693	11,601,889
3	Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	30,009	30,009	30,009
4	Financial Assets at fair value through profit and loss	509	559	500	509	501	500
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	26,560,480	24,643,526	17,266,903	26,560,480	24,460,192	17,057,791
a.b	Investment Securities: Held to Maturity- Other Securities	169,010	-	-		-	-
b.a	Investment Securities: Available for Sale- Kenya Government Securities	18,323,995	16,068,108	20,412,869	18,323,995	15,960,083	20,412,869
b.b	Investment Securities: Available for Sale- Other Securities	4,576,593	5,072,361	5,630,544	4,576,593	5,072,361	5,630,544
6	Deposits and balances due from local banking institutions	6,180,334	7,847,333	4,022,659	6,080,860	7,845,769	4,022,659
7	Deposits and balances due from banking institutions abroad	11,343,894	4,963,526	4,659,220	11,329,272	4,969,092	4,649,009
8	Tax recoverable	-	-	335	-	-	-
9	Loans and advances to customers (net)	184,089,408	179,486,355	154,648,317	183,139,637	178,978,586	154,597,026
10	Balances due from banking institutions in the group	-	207,361	-	-	207,361	-
11	Investments in associates	1,996,075	1,907,722	1,838,817	755,118	755,118	755,118
12	Investments in subsidiary companies	-	-	-	1,936,199	1,806,449	1,748,494
13	Investment in joint ventures	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-
15	Property, plant and equipment	10,502,975	10,078,698	9,732,657	9,077,483	9,253,832	8,947,316
16	Prepaid lease rentals	37,570	37,570	38,180	37,570	37,570	38,180
17	Intangible assets	1,210,158	1,712,901	2,810,038	1,183,258	1,363,210	2,558,341
18	Deferred tax asset	618,629	618,629	66,554	609,156	609,156	56,113
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	7,412,702	8,386,078	6,034,274	6,892,323	8,414,876	5,344,600
21	TOTAL ASSETS	309,610,656	285,396,067	247,319,159	304,846,787	282,689,098	244,073,622
B	LIABILITIES						
22	Balances due to Central Bank Of Kenya		-	-	-	-	-
23	Customer deposits	233,850,015	217,698,323	187,165,735	231,376,251.56	216,174,313	185,904,735.43
24	Deposits and balances due to local banking institutions	4,149,169	3,159,444	4,448,278	4,149,169.17	3,159,444	4,448,278.49
25	Deposits and balances due to banking institutions abroad	41,042	-	-	41,042	82,282	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	18,363,757	18,269,487	12,748,453	18,363,757.36	18,269,487	12,748,452.55
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	1,483,402	149,821	897,999	1,427,339	129,171	887,802
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	4,493,545	2,706,082	1,475,791	3,324,893	2,523,282	1,200,360
34	TOTAL LIABILITIES	262,380,931	241,983,157	206,736,256	258,682,452	240,337,979	205,189,629
C	SHAREHOLDERS' FUNDS						
35	Paid up/Assigned capital	4,889,317	4,889,317	4,190,844	4,889,317	4,889,317	4,190,844
36	Share premium/(discount)	2,889,789	2,889,789	3,588,262	2,889,789	2,889,789	3,588,262
37	Revaluation reserve	403,407	439,517	407,035	403,407	403,407	407,035
38	Retained earnings/ Accumulated losses	35,284,058	32,206,653	29,003,382	34,293,988	31,264,373	27,658,204
39	Statutory Loan Loss Reserve	717,844	718,421	717,844	717,844	717,844	717,844
40	Other Reserves	(5,842)	(793,356)	(323,267)	(5,842)	(794,062)	(323,267)
41	Proposed dividends	2,444,658	2,444,658	2,095,422	2,444,658	2,444,658	2,095,422
42	Capital grants	531,173	535,792	549,649	531,173	535,792	549,649
43	TOTAL SHAREHOLDERS' FUNDS	47,154,404	43,330,791	40,229,172	46,164,334	42,351,119	38,883,993
43.1	Non-Controlling Interest	75,321	82,118	353,732	-		-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	309,610,656	285,396,067	247,319,160	304,846,787	282,689,098	244,073,622

II	STATEMENT OF COMPREHENSIVE INCOME	31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)	31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)
1.0	INTEREST INCOME						
1.1	Loans and advances	6,672,634	24,713,355	5,477,944	6,644,802	24,669,606	5,475,008
1.2	Government securities	1,397,737	4,331,262	1,092,487	1,387,850	4,309,901	1,085,084
1.3	Deposits and placements with banking Institutions	93,176	307,394	79,201	93,176	287,900	79,201
1.1	Other Interest Income	2,196	-	-	-	-	-
1.5	Total Interest Income	8,165,743	29,352,011	6,649,632	8,125,828	29,267,406	6,639,293
2.0	INTEREST EXPENSE						
2.1	Customer deposits	2,049,161	5,957,719	1,594,528	2,049,125	5,957,045	1,594,520
2.2	Deposits and placements from banking institutions	19,326	215,306	15,300	19,326	206,410	15,300
2.3	Other Interest Expenses	250,900	1,903,128	221,456	250,775	1,903,128	221,456
2.4	Total Interest Expenses	2,319,387	8,076,154	1,831,284	2,319,226	8,066,583	1,831,275
3	NET INTEREST INCOME/(LOSS)	5,846,356	21,275,858	4,818,348	5,806,602	21,200,823	4,808,017
4	NON- INTEREST INCOME						
4.1	Fees and commissions on loans and advances	622,497	2,148,888	494,650	622,497	2,148,888	494,650
4.2	Other Fees and commissions	1,673,535	6,565,180	1,441,624	1,447,090	5,933,931	1,346,068
4.3	Foreign exchange trading income/(loss)	452,684	1,417,692	447,614	353,626	1,201,739	327,484
4.4	Dividend income	-	258,101	-	-	258,101	-
4.5	Other income	121,461	420,044	276,152	121,461	639,416	209,686
4.6	Total Non-interest income	2,870,177	10,809,905	2,660,039	2,544,674	10,182,074	2,377,888
5.0	TOTAL OPERATING INCOME	8,716,533	32,085,762	7,478,387	8,351,275	31,382,898	7,185,905
6.0	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	350,000	1,175,598	150,561	350,000	1,133,519	150,561
6.2	Staff costs	1,888,175	8,438,158	1,893,893	1,785,101	8,060,096	1,799,912
6.3	Directors' emoluments	14,406	161,129	18,844	6,537	116,235	11,086
6.4	Rentals charges	319,291	1,304,859	308,310	285,186	1,102,060	276,284
6.5	Depreciation charge on property and equipment	490,583	1,953,657	494,888	450,523	1,840,599	454,428
6.6	Armortisation charges	89,106	342,444	72,113	87,962	304,166	72,113
6.7	Other operating expenses	1,150,396	6,722,174	1,221,289	1,057,944	6,311,493	1,129,911
6.8	Total other operating expenses	4,301,957	20,098,019	4,159,898	4,023,254	18,868,168	3,894,295
7	Profit/(Loss) before tax and exceptional items	4,414,576	11,987,743	3,318,488	4,328,022	12,514,729	3,291,610
8	Exceptional items-Early Retirement Costs	-	(1,342,509)	-	-	(1,342,509)	-
8	Exceptional items-Share of profit of associate	88,353	270,976	149,929	-	-	-
9	Profit/(Loss) before tax	4,502,930	10,916,210	3,468,418	4,328,022	11,172,221	3,291,610
10	Current tax	1,329,905	3,453,288	1,002,844	1,298,406	3,373,937	987,483
11	Deferred tax	-	(552,075)	-	-	(553,043)	-
12	Profit/(loss) after tax and exceptional items	3,173,025	8,014,997	2,465,574	3,029,615	8,351,326	2,304,127
13.0	OTHER COMPREHENSIVE INCOME:						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	28,128	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	788,219	450,002	932,440	788,219	461,646	932,440
13.3	Revaluation Surplus on property, Plant and Equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	788,219	478,130	932,440	788,219	461,646	932,440
15	TOTAL COMPREHENSIVE INCOME	3,961,244	8,493,127	3,398,014	3,817,835	8,812,972	3,236,567
	Basic Earnings per share	0.65	1.64	0.59	0.62	1.71	0.55
	Diluted Earnings per share	0.65	1.64	0.50	0.62	1.71	0.47
	Dividend per share	-	0.50	-	-	0.50	-

III	OTHER DISCLOSURES						
		31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)	31-Mar-15 KSHS.'000 (Un-audited)	31-Dec-14 KSHS.'000 Audited	31-Mar-14 KSHS.'000 (Un-audited)
1	NON PERFORMING LOANS AND ADVANCES						
a)	Gross non-performing loans and advances	7,744,033	7,982,045	6,847,035	7,744,033	7,982,045	6,847,035
	Less	-		-			
b)	Interest in suspense	174,673	312,261	595,570	174,673	312,261	595,570
c)	Total Non-performing loans and advances (a-b)	7,569,360	7,669,784	6,251,465	7,569,360	7,669,784	6,251,465
	Less	-					
d)	Loan loss provisions	2,400,400	2,079,636	2,310,457	2,400,400	2,079,636	2,310,457
e)	Net Non performing loans (c-d)	5,168,960	5,590,148	3,941,008	5,168,960	5,590,148	3,941,008
f)	Discounted Value of Securities	5,168,960	5,590,148	3,941,008	5,168,960	5,590,148	3,941,008
g)	Net NPLs Exposure (e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	242,375	232,807	159,246	242,375	232,807	159,246
b)	Employees	6,713,375	6,602,831	6,520,265	6,713,375	6,602,831	6,520,265
c)	Total insider loans, advances and other facilities	6,955,750	6,835,638	6,679,511	6,955,750	6,835,638	6,679,511
3	Off-Balance Sheet Items						
a)	Letters of credit,guarantees, acceptances	15,527,986	14,110,553	15,396,754	15,527,986	14,110,553	15,396,754
b)	Forwards, swaps and options	8,320,444	5,815,401	3,884,100	8,320,444	5,815,401	3,884,100
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total contingent liabilities	23,848,430	19,925,954	19,280,854	23,848,430	19,925,954	19,280,854
	Capital strength						
a)	Core capital				38,784,104	37,403,665	33,270,287
b)	Minimum Statutory Capital				1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)				37,784,104	36,403,665	32,270,287
d)	Supplementary capital				19,182,453	19,088,184	13,568,056
e)	Total capital				57,966,557	56,491,849	46,838,342
f)	Total risk weighted assets				277,763,095	256,452,945	228,220,826
g)	Core capital/total deposit liabilities				16.5%	17.0%	17.5%
h)	Minimum Statutory Ratio				8.0%	8.0%	8.0%
i)	Excess/(deficiency)				8.5%	9.0%	9.5%
j)	Core capital/total risk weighted assets				14.0%	14.6%	14.6%
k)	Minimum Statutory Ratio				10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)				3.5%	4.1%	4.1%
m)	Total capital/total risk weighted assets				20.9%	22.0%	20.5%
n)	Minimum Statutory Ratio				14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)				6.4%	7.5%	6.0%
5	Liquidity						
a)	Liquidity Ratio				39.7%	33.8%	32.7%
b)	Minimum Statutory Ratio				20.0%	20.0%	20.0%
c)	Excess/ (deficiency)(a-b)				19.7%	13.8%	12.7%

These

Signed: S C Muchiri, EBS
Group Chairman

Signed:

Dr.G. Muriuki, MBS
Group Managing Director & CEO

CO-OPERATIVE BANK OF KENYA LIMITED & SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 31 MARCH 2015

	Kshs'000 31-Mar-15	Kshs'000 31-Dec-14
a. **OPERATING ACTIVITIES:-**		
Cash generated from/(used in) operations	7,689,626	13,552,772
Tax paid	-	(3,145,135)
Net cash generated from operating activities	**7,689,626**	**10,407,637**
b. **INVESTING ACTIVITIES:-**		
Purchase of property and equipment	(9,491)	(650,220)
Purchase of software	(11,486)	(377,372)
Additional capital to a subsidiary	(129,750)	(57,955)
Proceeds from disposal of property and equipment	172	8,495
Purchase of held-to-maturity investments	(2,100,288)	(13,477,745)
Maturity of held-to-maturity investments	-	2,838,035
Net cash flows used in investing activities	**(2,250,843)**	**(11,716,762)**
c. **FINANCING ACTIVITIES:-**		
Proceeds from borrowings	94,270	8,156,960
Repayment of borrowings	(162,049)	(293,995)
Dividends paid	-	(2,095,422)
Net cash flows from financing activities	**(67,779)**	**5,767,543**
Net movement in cash and cash equivalents	5,371,006	4,458,418
Cash and cash equivalents at the beginning of the year	24,872,134	20,617,976
Net foreign exchange differences	-	(204,260)
CASH AND CASH EQUIVALENTS AT	**30,243,140**	**24,872,134**

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 MARCH 2015

	Share Capital KShs'000	Share Premium KShs'000	Revaluation Reserve KShs'000	Statutory Reserve KShs'000	Fair value Reserve KShs'000	Foreign Currency Transalation Reserve	Proposed Dividends KShs'000	Retained Earnings KShs'000	Attributable to equity holder of the parent	Non-Controlling Interest	Total Equity KShs'000
Balance at 1 January 2015	4,889,317	2,889,789	408,074	718,421	(793,356)	31,444	2,444,659	32,206,653	42,795,001	82,118	42,877,119
Total comprehensive income									-		-
Profit for the year	-	-	-	-	-		-	3,173,025	3,173,025	(6,797)	3,166,228
Other comprehensive income	-	-	(4,667)	-	787,514	(31,444)	-	-	751,403		751,403
Realisation of revaluation surplus	-	-	-	-	-		-	-	-		-
Net movement in revenue grants	-	-	-	-	-		-	(96,197)	(96,197)		(96,197)
Transfers to(from) statutory reserve	-	-	-	(577)	-		-	577	-		-
Balance at 31 March 2015	**4,889,317**	**2,889,789**	**403,407**	**717,844**	**(5,842)**	**-**	**2,444,659**	**35,284,058**	**46,623,232**	**75,321**	**46,698,553**